

Excerpts from AI Now 2025 Report on AI Power

Summary

The AI Now Institute's 2025 report, titled **Artificial Power**, offers a sweeping critical analysis of the contemporary AI landscape, arguing that the central issue surrounding artificial intelligence is not whether individual products are useful but whether the concentrated, unaccountable power of the technology companies building them serves the broader public interest. The report's core thesis is that AI functions primarily as a vehicle for consolidating Big Tech's dominance over markets, institutions, and public infrastructure, and that this consolidation poses fundamental threats to democracy, equity, and economic well-being.

The report builds on AI Now's 2023 findings by demonstrating that the field's key players have scarcely changed despite the apparent emergence of challengers like OpenAI and Anthropic. These newer firms remain deeply dependent on incumbents—Microsoft, Amazon, Google, and Meta—through investment and cloud infrastructure relationships. The report highlights the precarious economics underlying the AI boom: OpenAI lost \$5 billion while being valued at \$300 billion, and Anthropic burned through \$5.6 billion against a \$61.5 billion valuation, with no profitable use cases on the horizon. The authors characterize this as a bubble, sustained by speculative valuations and increasingly by government subsidies and military contracts rather than demonstrated value.

Drawing on over a decade of evidence, the report argues that AI's purported benefits—from healthcare breakthroughs to productivity gains—are systematically overstated and underproven, while its documented harms are immediate and growing. Deployed AI systems in hiring, immigration enforcement, and public services have deepened inequality, eroded due process, reduced transparency, and displaced grounded professional expertise. The report further critiques dominant industry narratives—including the inevitability of artificial general intelligence, the framing of regulation as anti-innovation, and the US-China arms race rhetoric—as strategic devices designed to insulate the industry from accountability and secure taxpayer-funded support.

The report concludes with a five-point roadmap for action. It calls for reframing AI debates around power rather than progress, advancing worker organizing as a counterweight to AI-enabled corporate control, enacting "zero trust" regulatory frameworks with bright-line restrictions on harmful uses, bridging advocacy networks across policy domains, and reclaiming a vision of public-centered innovation that does not presuppose large-scale AI as inevitable. The broader implication is urgent: without robust democratic intervention, AI development will continue to serve oligarchic interests at the expense of working people, public institutions, and social cohesion.

